



Income Tax Department

Ministry of Finance, Government of India

CHAPTER XXI

PENALTIES

Penalty for under-reporting and misreporting of income.

439. (1) The Competent Authority may, during the course of any proceedings under this Act, impose penalty on any person who has under-reported his income and such penalty shall be payable in addition to tax, if any.

(2) A person shall be deemed to have under-reported his income, if—

- (a) the income assessed is greater than the income determined in the return processed under section 270(1)(a);
- (b) the income assessed is greater than the maximum amount not chargeable to tax, where no return of income has been furnished or where return has been furnished for the first time under section 280;
- (c) the income reassessed is greater than the income assessed or reassessed immediately before such reassessment;
- (d) the amount of deemed total income assessed or reassessed as per section 206(1) and (2), is greater than the deemed total income determined in the return processed under section 270(1)(a);
- (e) the amount of deemed total income assessed as per section 206(1) and (2), is greater than the maximum amount not chargeable to tax, where no return of income has been furnished or where return has been furnished for the first time under section 280;
- (f) the amount of deemed total income reassessed as per section 206(1) and (2), is greater than the deemed total income assessed or reassessed under the said sections immediately before such reassessment;
- (g) the income assessed or reassessed has the effect of reducing the loss or converting such loss into income.

(3) The amount of under-reported income shall be,—

(a) if income has been assessed for the first time,—

(i) where return has been furnished, the difference between the amount of income assessed and the amount of income determined under section 270(1)(a);

(ii) where no return of income has been furnished or where return has been furnished for the first time under section 280,—

(A) the amount of income assessed, in the case of a company, firm or local authority; and

(B) the difference between the amount of income assessed and the maximum amount not chargeable to tax, in a case not covered in item (A);

(b) in any other case, the difference between the amount of income reassessed or recomputed and the amount of income assessed, reassessed or recomputed in a preceding order.

(4) If under-reported income arises out of determination of deemed total income as per section 206(1) and (2), the amount of total under-reported income shall be determined as under—

$(A - B) + (C - D)$

where,—

A = the total income assessed as per the provisions other than the provisions contained in section 206 (herein referred to as "general provisions");

B = the total income that would have been chargeable had the total income assessed as per the general provisions been reduced by the amount of under-reported income;

C = the total income assessed as per section 206;

D = the total income that would have been chargeable had the total income assessed as per section 206 been reduced by the amount of under-reported income.

(5)(a) If the amount of under-reported income on any issue is considered both under section 206(1) and (2) and under general provisions, such amount shall not be reduced from total income assessed while determining the amount under D referred to in sub-section (4);

(b) in a case where an assessment or reassessment has the effect of reducing the loss declared in the return or converting that loss into income, the amount of under-reported income shall be the difference between the loss claimed and the income or loss, assessed or reassessed.

(6) Subject to sub-section (8), where the source of any receipt, deposit or investment in any tax year is claimed to be an amount added to income or deducted while computing loss, in the assessment of such person in any year prior to the tax year in which such receipt, deposit or investment appears (herein referred to as the preceding year) and no penalty was levied for such preceding year, then, the under-reported income shall include such amount as is sufficient to cover such receipt, deposit or investment.

(7) The amount referred to in sub-section (6) shall be deemed to be income under-reported for the preceding year in the following order:—

(a) the preceding year immediately before the year in which the receipt, deposit or investment appears, being the first preceding year; and

(b) where the amount added or deducted in the first preceding year is not sufficient to cover the receipt, deposit or investment, the year immediately preceding the first preceding year and so on.

(8) The under-reported income, for the purposes of this section, shall not include the following:—

(a) the amount of income in respect of which the assessee offers an explanation and the Competent Authority, is satisfied that the explanation is *bona fide* and the assessee has disclosed all the material facts to substantiate the explanation offered;

(b) the amount of under-reported income determined on the basis of an estimate, if the accounts are correct and complete to the satisfaction of the Competent Authority, but the method employed is such that the income cannot properly be deduced therefrom;

(c) the amount of under-reported income determined on the basis of an estimate, if the assessee has, on his own, estimated a lower amount of addition or disallowance on the same issue, has included such amount in the computation of his income and has disclosed all the facts material to the addition or disallowance; and

(d) the amount of under-reported income represented by any addition made in conformity with the arm's length price determined by the Transfer Pricing Officer, where the assessee had maintained such information and documents as may be prescribed under section 171, declared the international transaction under Chapter X, and, disclosed all the material facts relating to the transaction.

(9) The penalty referred to in sub-section (1) shall be 50% of the tax payable on under-reported income.



Income Tax Department

Ministry of Finance, Government of India

Form of appeal and limitation.

358. (1) Every appeal under this Chapter shall be in such form and verified in such manner, as may be prescribed.

(2) An appeal referred to in sub-section (1), made to the Commissioner (Appeals) or to the Joint Commissioner (Appeals), shall be accompanied by a fee of

- (a) Rs. 250, where the total income of the assessee as computed by the Assessing Officer in the case to which the appeal relates is Rs. 100000 or less;
- (b) Rs. 500, where the total income of the assessee, computed as aforesaid, in the case to which the appeal relates is more than Rs. 100000 but not more than Rs. 200000;
- (c) Rs. 1000, where the total income of the assessee, computed as aforesaid, in the case to which the appeal relates is more than Rs. 200000;
- (d) Rs. 250, where the subject matter of an appeal is not covered under clauses (a), (b) and (c).

(3) The appeal shall be presented within thirty days,—

- (a) from the date of service of the notice of demand where the appeal relates to any assessment or penalty; or
- (b) in any other case, from the date on which intimation of the order sought to be appealed against is served.

(4) For the purposes of sub-section (3)(a), where an application made under section 440(1) is rejected, the period beginning from the date on which the application is made, to the date on which the order rejecting the application is served on the assessee, shall be excluded.

(5) The Joint Commissioner (Appeals) or the Commissioner (Appeals) may admit an appeal after the expiration of the said period if he is satisfied that the appellant had sufficient cause for not presenting it within that period.

(6) No appeal under this Chapter shall be admitted unless at the time of filing of the appeal,—

- (a) where a return has been filed by the assessee, the assessee has paid the tax due on the income returned by him; or
- (b) where no return has been filed by the assessee, the assessee has paid an amount equal to the amount of advance tax which was payable by him.

(7) The Joint Commissioner (Appeals) or the Commissioner (Appeals) may, for the purposes of sub-section (6)(b) and on an application made by the appellant in this behalf, for reasons to be recorded in writing, exempt him from the operation of the provisions of that sub-section.

